EXECUTIVE STRATEGY

Customer Retention Strategy

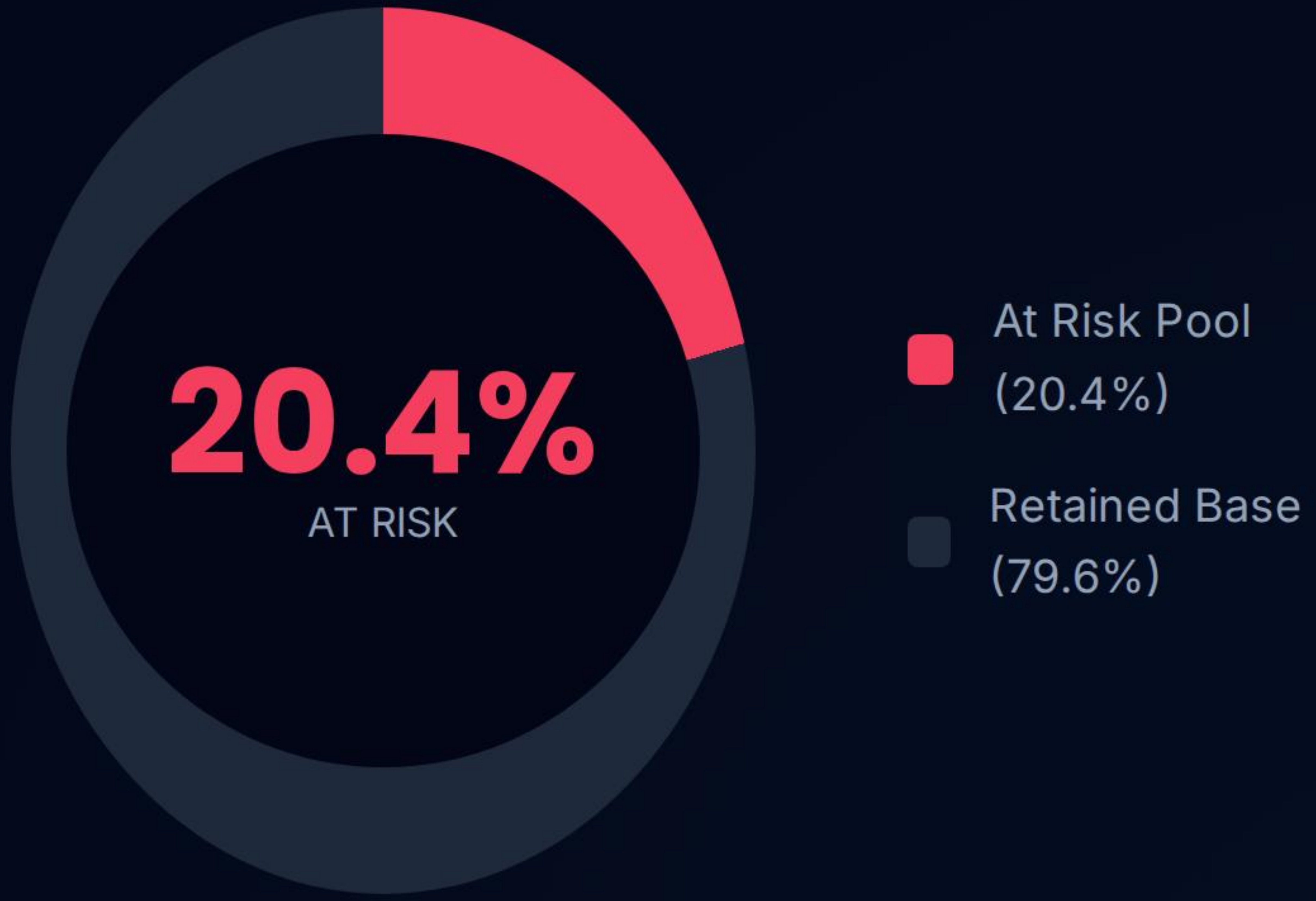
Predictive Modeling & Strategic Mitigation

The 20.4% Churn Challenge

We are losing **1 in 5 customers.** This represents a primary business risk eroding Lifetime Value (CLV) and driving high acquisition costs.

Risk Concentration Identified

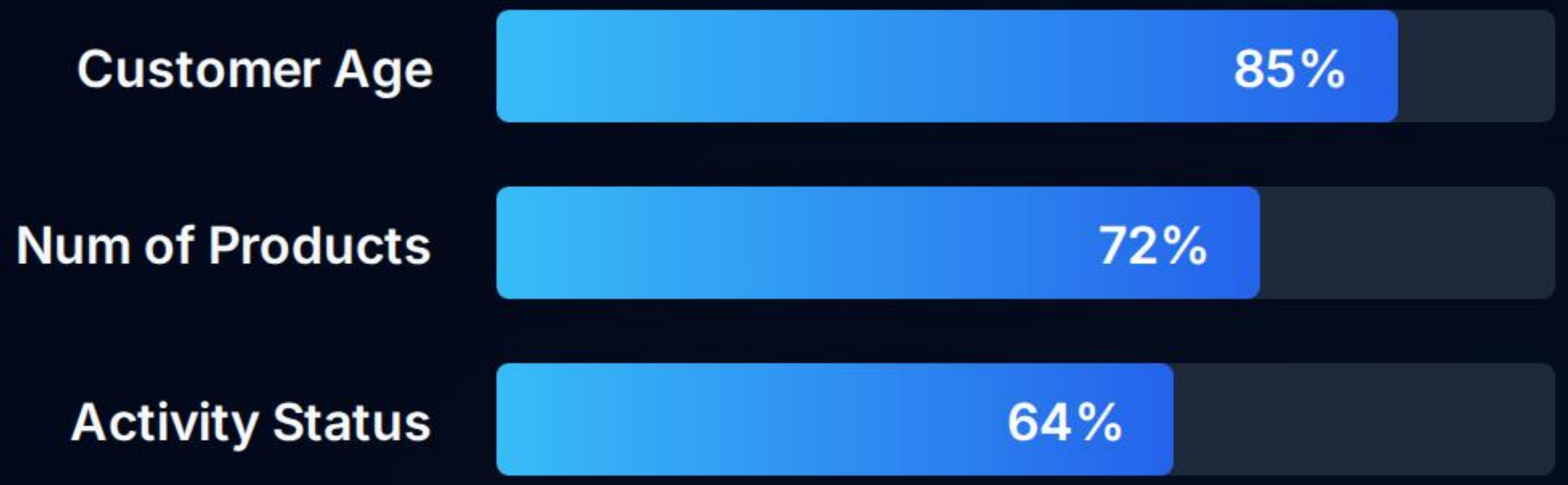
The 20.4% churn rate signals a significant leakage in our customer base. Immediate intervention is required to stabilize the "At Risk" segment and preserve long-term revenue.



Key Catalysts for Departure

Churn is systematic, not random. Predictive modeling reveals that **Age** and **Product Complexity** are our highest risk indicators.

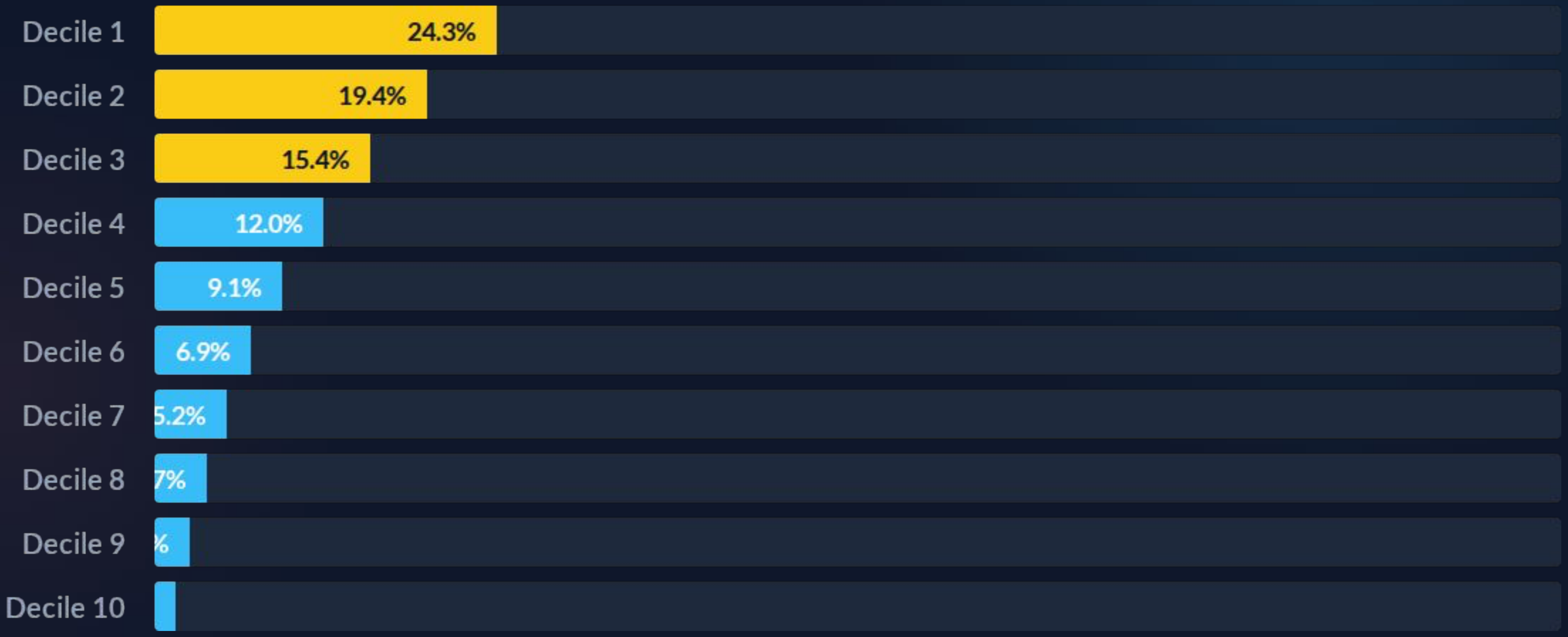
- **Older Cohorts:** Demographic 45+ shows significantly higher exit probability.
- **Product Overload:** Users with high product counts face significant friction.



Feature Importance Weighting

PREDICTED CHURN RISK BY DECILE

Distribution of churners captured per decile (1 = Highest Risk)



TARGETED RETENTION EFFICIENCY

59.1%

CAPTURE: TOP 3 DECILES

OPTIMIZED IMPACT

By focusing retention efforts strictly on the **top 3 deciles (30% of base)**, we can capture 59.1% of the total churn risk.

This lean targeting strategy provides the highest possible ROI by excluding low-probability segments from expensive high-touch interventions.

Roadmap to Retention

Personalize

Develop dedicated service protocols for the 45+ demographic to build trust and address specific financial stability needs.

Simplify

Conduct UX friction audits for multi-product users. Streamline dashboard complexity to reduce cognitive load.

Re-engage

Deploy automated, event-driven triggers for inactive members to stimulus reactivation via targeted offers.

END